able to inflict violence. States use the threat of violence in order to obtain obedience on taxation and behaviour.

> *The individual has a soul but the state is a soulless machine. The state can never be weaned away from violence to which it owes its existence.*
>
> Mahatma Gandhi

All state activities fall into two categories. In the first case, the state can use force to modify behaviour. A law can be enacted, that forbids a certain activity (e.g., killing, defamation or sedition) and threatens violators with punishment ranging from monetary penalties to imprisonment to death. In the second case, the state obtains tax revenues and spends this money in certain ways. But obtaining tax revenues is itself done through the threat of violence. The state demands that residents must pay certain taxes, and threatens us with monetary penalties or even prison time if these demands are not complied with.

The big idea of liberal democracy is to limit state violence into a controlled, predictable and just form. In an ideal democracy, we consent to an ethical regime of coercion. When the checks and balances surrounding the state are imperfect, state violence can be applied in unjust ways.

Every state action come at the cost of coercing private persons. These restrictions limit individual freedom, which reduces human welfare in and of itself. When we impose a tax of Re 1 upon a person, we take away that person's freedom to spend that Re 1.

Addressing market failure is the legitimate ground for coercion

> *The important thing for government is not to do things which individuals are doing already, and to do them a little better or a little worse; but to do those things which at present are not done at all.*
>
> John Maynard Keynes